

Retail Research	IPO Note
Sector: Consumption (Jewellery)	Price Band (Rs): 492 – 517
7 th August 2025	Recommendation: SUBSCRIBE for Long Term

Bluestone Jewellery & Lifestyle Ltd.

Company Overview:

BlueStone Jewellery & Lifestyle Ltd. (BlueStone) launched in 2011, is a designed jewellery brand offering contemporary diamond, gold, platinum, and studded pieces for men, women, and couples primarily in the 24 – 45 age group. With a strong digital presence and focus on modern styles, company operates 275 stores across 117 cities in India, serving over 12,600 PIN codes. The brand runs three manufacturing units in Mumbai, Jaipur, and Surat, with a fourth facility under construction in Jaipur to meet growing demand. BlueStone has presence in the light weight jewellery segment, focusing on occasion and daily wear categories.

Key Highlights:

1. Omni-channel jewellery company: The company offers a seamless omni-channel experience, allowing customers to browse online, get in-store assistance, and shop as per their convenience. This personalized approach sets it apart in the jewellery sector, where building a true omni-channel presence is challenging. BlueStone is among the few pan-India players to have successfully achieved this. The company's website and mobile application allow customers to browse over 7,400 designs, as of Mar'25. The company's website is fully integrated with its offline store network, enabling seamless product browsing, ordering, and delivery—either to home or store. As of Mar'25, the company operates 200 company-owned and 75 franchisee-managed stores, covering over 6,05,000 sq. ft. All franchisee stores are run by the company, ensuring consistent customer experience. These stores extend online presence, boost brand visibility, and enhance customer engagement through in-person interactions.

2. Differentiated product offering and inhouse manufacturing process: The company focuses on design-led jewellery for customers who value aesthetics over metal value. The company's in-house team of 23 designers consistently launches fresh collections (10/12/6 in FY23/FY24/FY25 respectively), supported by a dedicated prototype facility in Mumbai. With over 75% of jewellery produced in-house, it ensures quality, faster time-to-market, and supply chain control. The company's automated merchandising system tracks real-time demand across PIN codes, enabling efficient inventory management and design innovation. BlueStone ranks among the top five jewellery retailers in India by number of listed designs.

3. Technology driven customer experience: As a digitally native brand, BlueStone uses advanced tech to deliver a consistent omni-channel experience. The company prioritizes high-quality product visualization through 360° videos and 3D rendering, allowing customers to view jewellery designs in detail without physical prototypes. These capabilities enhance online discovery and engagement, setting it apart in the industry. BlueStone is among the few jewellery retailers in India with a fully in-house tech stack powering its omni-channel experience. BlueStone's integrated system connects design, manufacturing, merchandising, and retail with customer-facing platforms, enabling real-time data analytics, personalized experiences, and design innovation based on customer feedback.

Valuation: BlueStone is a leading omni-channel jewellery retailer in India with market share of 28-32% in the omnichannel casual jewellery segment. Company's focus on design and product quality has enabled it to earn higher gross margins. The repeat revenue ratio has grown to 44.6% in FY25 from 34.7% in FY23, reflecting greater customer satisfaction with the company's designs and product quality. At the upper price band of Rs 517, BlueStone is valued at 4.5x EV/Sales which is at a premium to its listed peers. Looking at the aggressive store expansion during the last 2 years and well-established track record of delivering robust sales growth, we believe BlueStone is well placed to encash on the fast growing & high margin lightweight jewellery segment. As the sales for the new stores reaches the system average, profitability is expected to improve going forward. We recommend investors to SUBSCRIBE to the issue with a long term horizon at the cut-off price.

Issue Details	
Date of Opening	11 th August 2025
Date of Closing	13 th August 2025
Price Band (Rs)	492 – 517
Fresh Issue (Rs cr)	820
OFS (Rs cr)	721
Issue Size (Rs cr)	1,541
No. of shares @ Upper Price Band	2,97,99,798
Face Value (Rs)	1
Post Issue Market Cap (Rs cr)	7,485 – 7,823
BRLMs	Axis Capital, IIFL Capital Services, Kotak Mahindra Capital Company
Registrar	KFin Technologies
Bid Lot	29 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding working capital requirements	750.0
General corporate purpose [^]	70.0
Total proceeds from fresh issue	820.0

[^]The amount to be utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	2,47,61,977	18.3
Public & Others	11,06,97,660	81.7
Total	13,54,59,637	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	2,47,61,977	16.4
Public & Others	12,65,58,395	83.6
Total	15,13,20,372	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from operations	771	1,266	1,770
EBITDA	(56)	53	75
PAT	(167)	(142)	(222)
EBITDA Margin (%)	-7.3%	4.2%	4.2%
PAT Margin (%)	-21.7%	-11.2%	-12.5%
RoE (%)	-	-	-
RoCE (%)	-	-	-
P/E (x)*	-	-	-

Source: RHP, SSL Research

*Note: Pre-issue P/E based on upper price band

Risk Factors

- **Regulatory Compliance Risks:** The company has faced instances of non-compliance in past secretarial and regulatory filings. These may lead to potential regulatory actions or penalties, which could impact its business, financial condition, and reputation.
- **Customer Metrics & Growth Risks:** The company's repeat revenue ratio improved to 44.6% in FY25 from 39.8% in FY24 and 34.7% in FY23. Average order value also rose to Rs 47,671.3 in FY25. However, failure to retain customers, attract new ones cost-effectively, or maintain order values could impact the revenue growth and profitability.
- **Inventory Management Risk:** The company purchases and manufactures inventory in anticipation of sales, with inventory levels rising to Rs 1,652.5 cr in FY25. Ineffective inventory management could negatively impact operations and financial performance.

Growth Strategies

- Expanding omni-channel presence.
- Focus on becoming a lifecycle jeweller.
- Invest in brand building initiatives.
- Continue to leverage technology.
- Scaling its old gold exchange program.

Revenue from Operations - Divisions

Parameters	FY23	FY24	FY25
Stores	155	192	275
Number of towns and cities	71	80	117
Same Store Sales Growth (%) [*]	72.1%	51.2%	32.1%
Total area ('000 sq ft.) ^{**}	287.7	364.5	608.5
Average Order Value (Rs) ^{***}	32,038.4	41,204.7	47,671.3
Number of sessions (cr) [^]	8.2	16.6	29.9
Number of customers ^{^^}	3,90,959	5,62,729	7,71,845
Revenue from sale of studded jewellery as a percentage of revenue ^{^^^}	68.3%	67.4%	67.9%
Repeat Revenue ratio ^{^*}	34.7%	39.8%	44.6%

^{*} Same Store Sales Growth represents the year-on-year percentage change in net revenue from operations of all stores which are operational for more than 12 months for the reported FY.

^{**} Aggregate Square Footage refers to the total area for retail store operations.

^{***} Average Order Value is calculated as total retail invoice amount divided by number of delivered orders to retail customers.

[^] Number of sessions refers to the number of sessions logged in by the users on Bluestone's website/android/iOS application.

^{^^} Number of customers refers to the total count of unique customers who have made and retained a purchase till date.

^{^^^} Studded jewellery refers to jewellery that has been bejewelled with precious stones, gemstones or coloured stones.

^{^*} Repeat Revenue Ratio calculated as revenue generated by sales to repeat customers, i.e., customers who place an order more than once at any time previously

Source: RHP, SSL Research

Stores

The company's stores are usually located in high-visibility and high-street areas and shopping malls with a typical average store size of 2,200 square feet. 75% of the stores are break-even within three months of commencing operations.

Company Stores	FY23	FY24	FY25
Company Stores			
Tier I [*]	24	55	105
Tier II ^{**}	19	28	55
Tier III ^{***}	6	13	40
Total (A)	49	96	200
Franchisee Stores			
Tier I [*]	65	58	40
Tier II ^{**}	27	25	22
Tier III ^{***}	14	13	13
Total (B)	106	96	75
Total (A) + (B)	155	192	275

^{*} Tier-I cities is defined as Ahmedabad, Bangalore, Chennai, Delhi/ NCR, Hyderabad, Kolkata, Mumbai and Pune.

^{**} Tier-II cities is defined as Cities with a population greater than 1 mn.

^{***} Tier-III cities is defined as cities with a population less than 1 mn.

Source: RHP, SSL Research

Revenue Mix - Product

(Rs cr)	FY23	% of revenue	FY24	% of revenue	FY25	% of revenue
Online sales	120.5	15.6%	107.9	8.5%	117.8	6.7%
Sales from stores and other channels	650.3	84.4%	1,158.0	91.5%	1,652.2	93.3%
Revenue from operations	770.7	100.0%	1,265.8	100.0%	1,770.0	100.0%

Source: RHP, SSL Research

Gold Mine Scheme

(Rs cr)	FY23	% of total liabilities	FY24	% of total liabilities	FY25	% of total liabilities
Amount outstanding under gold mine scheme	70.3	5.3%	108.8	5.2%	172.8	6.6%

Source: RHP, SSL Research

Revenue Mix - Geography

(Rs cr)	FY23			FY24			FY25		
	Revenue from operation	Number of stores	% of revenue	Revenue from operation	Number of stores	% of revenue	Revenue from operation	Number of stores	% of revenue
South*	177.2	43	23.0%	309.4	50	24.4%	430.8	77	24.3%
West**	298.1	33	38.7%	304.3	43	24.0%	391.5	65	22.1%
East^	73.6	35	9.6%	174.4	42	13.8%	249.0	50	14.1%
North^^	221.9	44	28.8%	477.8	57	37.7%	698.7	83	39.5%
Total	770.7	155.0	100.0%	1,265.8	192.0	100.0%	1,770.0	275.0	100.0%

* South region comprises Andaman & Nicobar Islands, Andhra Pradesh, Telangana, Tamil Nadu, Karnataka, Kerala, Pondicherry.

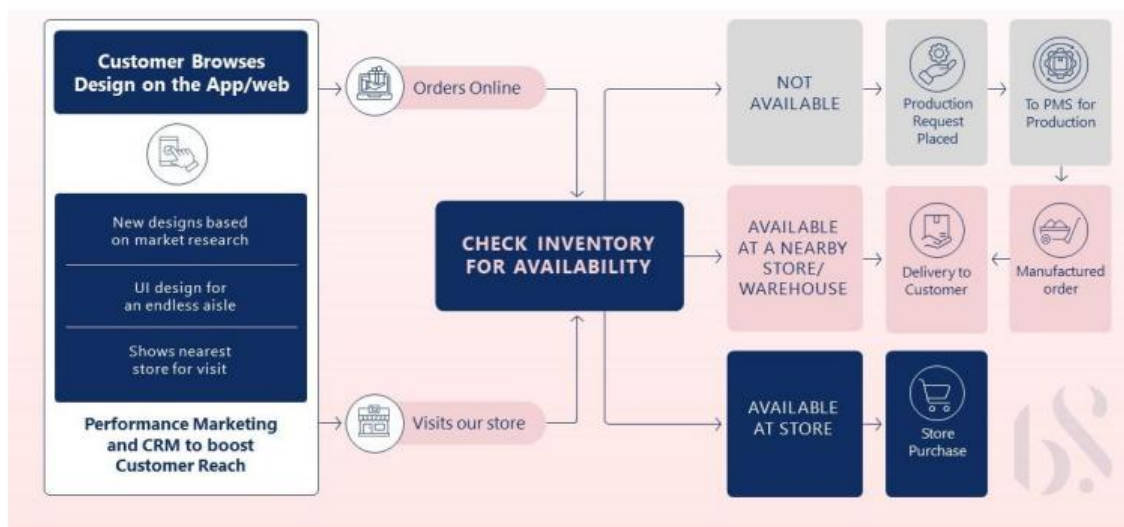
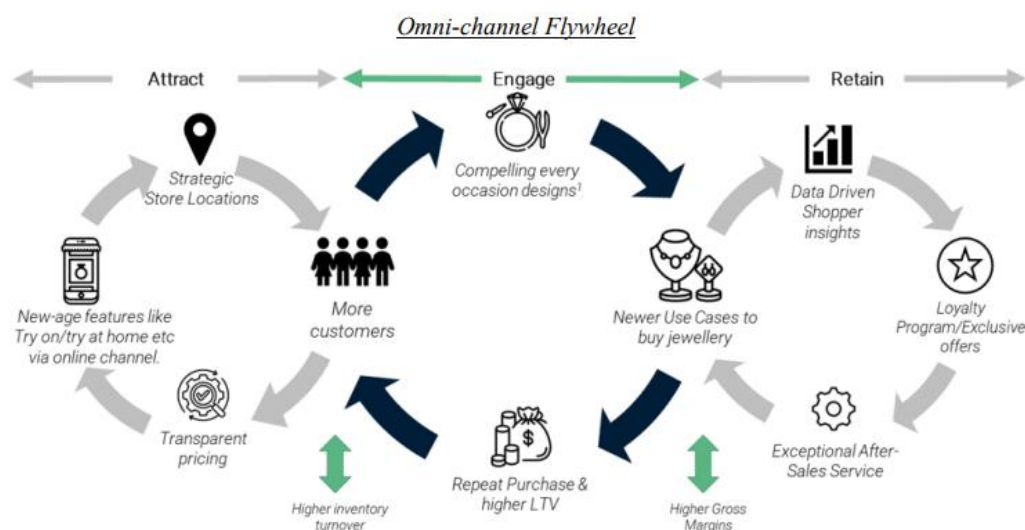
** West region comprises Gujarat, Maharashtra, Goa, Madhya Pradesh, Chhattisgarh, Dadra & Nagar Haveli, Daman & Diu.

^ North region comprises Chandigarh, Delhi, Haryana, Himachal Pradesh, Jammu & Kashmir, Punjab, Rajasthan, Uttarakhand, Uttar Pradesh.

^^ East region comprises Arunachal Pradesh, Assam, Bihar, Jharkhand, Manipur, Meghalaya, Mizoram, Nagaland, Orissa, Sikkim, Tripura, West Bengal.

Source: RHP, SSL Research

Omni-Channel Flywheel



Source: RHP, SSL Research

Industry Overview

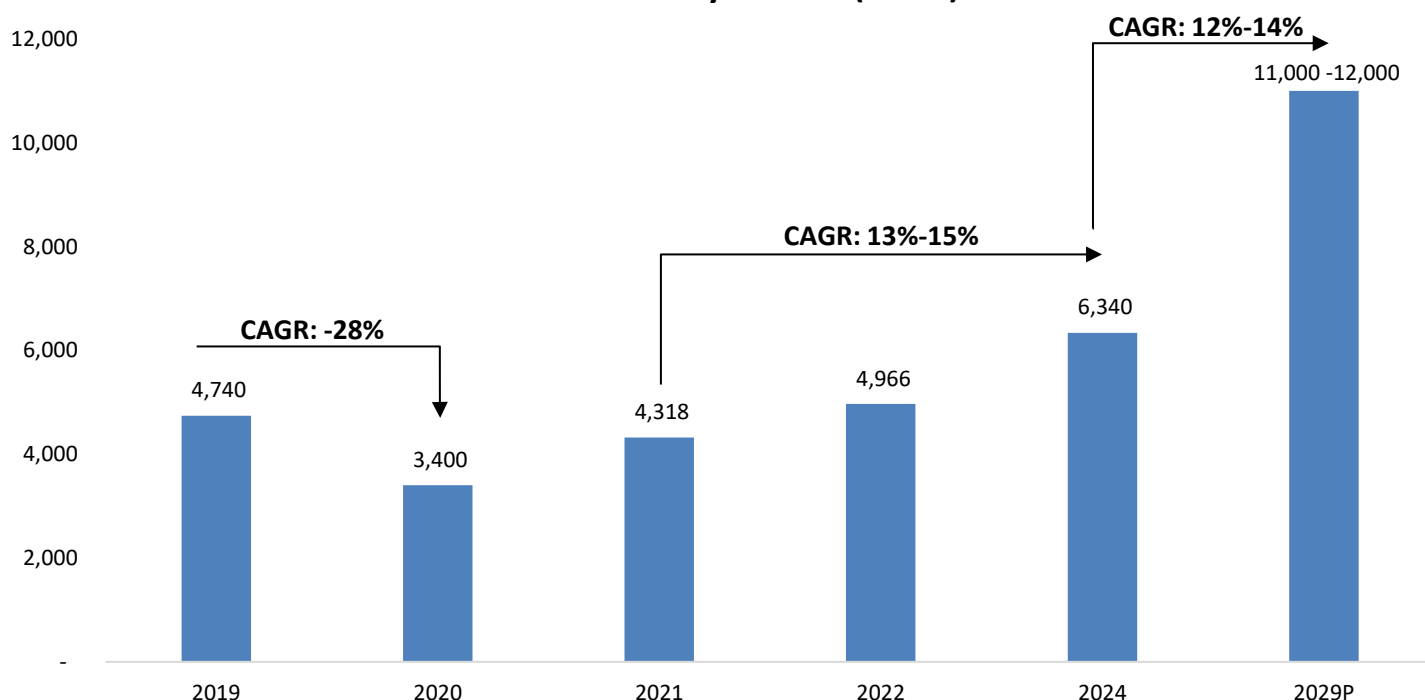
Multi-channel vs Omnichannel:

Low High		
Category	Multi-Channel	Omnichannel
Focus	Reaching customers through multiple channels – Online /Offline	Unified customer experience across all channels- Online /Offline
Channel Integration	Operate independently without integration	Seamless Integration between channels
Conversion Rate	Low as channels operate in silos	Higher as sales are influenced heavily by online channels
Data Sharing	Limited data sharing between channels	Comprehensive data integration between channels
Analytics & Reporting	Difficulty in measuring customer journey across channels	Comprehensive customer journey tracking
Inventory Management	Limited inventory visibility across all channels	Inventory management across channels- leading to accurate inventory mapping
Marketing Strategy	Siloed marketing campaigns, mostly offline driven	Integrated marketing campaigns across channels
Customer Experience	Heavily dependent on channel	Consistent and personalised customer experience across channels
Returns & Exchanges	Frictional returning process dependent on channels	Customers can usually return or exchange items through any channel
Loyalty Programs	Mostly offer separate loyalty programs across channels	Unified loyalty program that tracks customer activity across all channels

Source: RHP, SSL Research

Indian jewellery market is expected to grow at a CAGR of 12%-14% between 2024 and 2029P:

India Jewellery Market (Rs bn)



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY23	FY24	FY25
Revenue from Operations	771	1,266	1,770
YoY growth	-	64.2%	39.8%
Cost Of Revenues (incl Stock Adj)	525	754	1,098
Gross Profit	246	511	672
Gross margins	31.9%	40.4%	37.9%
Employee Cost	91	138	203
Other Operating Expenses	210	320	394
EBITDA	(56)	53	75
EBITDA margins	-7.3%	4.2%	4.2%
Adj. EBITDA^	(107)	(24)	(38)
EBITDA margins	-13.9%	-1.9%	-2.1%
Other Income	17	38	60
Interest Exp.	67	138	208
Depreciation	62	95	147
PBT	(167)	(142)	(220)
Exceptional item	-	-	-
Tax	-	-	-
PAT	(167)	(142)	(222)
PAT margin	-21.7%	-11.2%	-12.5%
PAT after minority interest	(167)	(142)	(222)
Adj. PAT margin	-21.7%	-11.2%	-12.5%

BALANCE SHEET			
(Rs cr)	FY23	FY24	FY25
Assets			
Net Block	85	124	266
Capital WIP	1	17	4
Intangible Assets	0	0	4
Intangible Assets under development	-	-	1
Right of use assets	359	461	743
Other Non current Assets	89	514	384
Current Assets			
Current Investment	-	-	51
Inventories	395	991	1,653
Trade receivables	1	2	6
Cash and Bank Balances	259	106	187
Short-term loans and advances	1	0	-
Other Current Assets	64	237	234
Total Current Assets	721	1,337	2,130
Current Liabilities & Provisions			
Trade payables	78	217	165
Other current liabilities	260	463	521
Short-term provisions	0	2	3
Total Current Liabilities	339	682	689
Net Current Assets	382	656	1,441
Assets Classified as held for sale	-	-	-
Total Assets	916	1,772	2,843
Liabilities			
Share Capital	9	28	30
Reserves and Surplus	(81)	346	877
Total Shareholders Funds	(72)	374	907
Minority Interest	-	-	4
Total Debt (Including Gold Metal Loan)	450	873	1,115
Long Term Provisions	5	3	4
Lease Liabilities	373	489	800
Other Long Term Liabilities	161	33	14
Total Liabilities	916	1,772	2,843

Cash Flow (Rs Cr)	FY23	FY24	FY25
Cash flow from Operating Activities	27	(181)	(666)
Cash flow from Investing Activities	(205)	(382)	(84)
Cash flow from Financing Activities	196	595	740
Free Cash Flow	(63)	(280)	(843)

RATIOS			
	FY23	FY24	FY25
Profitability			
Return on Assets	-	-	-
Return on Capital Employed	-	-	-
Return on Equity	-	-	-
Margin Analysis			
Gross Margin	31.9%	40.4%	37.9%
EBITDA Margin	-7.3%	4.2%	4.2%
Net Profit Margin	-21.7%	-11.2%	-12.5%
Short-Term Liquidity			
Current Ratio (x)	1.0	1.0	1.3
Quick Ratio (x)	0.4	0.3	0.3
Avg. Days Sales Outstanding	1	1	1
Avg. Days Inventory Outstanding	275	480	549
Avg. Days Payables	35	65	35
Fixed asset turnover (x)	1.7	2.2	1.7
Debt-service coverage (x)	(0.3)	(0.0)	(0.0)
Long-Term Solvency			
Total Debt / Equity (x)	-	2.3	1.2
Interest Coverage Ratio (x)	(1.5)	(0.0)	(0.1)
Valuation Ratios*			
EV/EBITDA (x)	-	146.5	105.6
P/E (x)	-	-	-
P/B (x)	-	18.7	7.7
EV/Sales (x)	9.3	6.1	4.5
Mkt Cap/Sales (x)	9.1	5.5	4.0

*Valuation ratios are based on pre-issue capital at the upper price band

^EBITDA adjusted for Cash Outflow of Lease payments

Source: RHP, SSL Research

Peer Comparison

Particulars (Rs cr)	BlueStone Jewellery & Lifestyle	Titan	Kalyan Jewellers India	Senco Gold	Thangamayil Jewellery	PC Jeweller
CMP (Rs)	517	3,417	589	336	1,931	14
Sales	1,770	60,456	25,045	6,259	4,911	2,245
EBITDA	75	5,694	1,517	370	219	395
Net Profit	(222)	3,337	714	165	119	578
Mkt Cap.	7,823	3,04,113	60,726	5,510	5,986	8,904
Enterprise Value	7,932	3,20,625	62,988	6,685	6,495	10,904
EBITDA Margin (%)	4.2	9.4	6.1	5.9	4.5	17.6
Net Profit Margin (%)	(12.5)	5.5	2.9	2.6	2.4	25.7
P/E (x)	-	91.1	85.1	33.4	50.3	15.4
EV/EBITDA (x)	105.6	56.3	41.5	18.1	29.7	27.6
RoE (%)	-	28.7%	14.9%	8.3%	10.8%	9.3%
RoCE (%)	-	18.5%	16.3%	9.6%	10.5%	6.1%
EV/Sales (x)	4.5	5.3	2.5	1.1	1.3	4.9

The data is based on FY25 financial data.

For Bluestone Jewellery & Lifestyle Ltd, the Market Cap, P/E (x), EV/EBITDA (x), RoE (%), RoCE (%) and EV/Sales are calculated on post-issue equity share capital based on the upper price band.

CMP of peer companies is as of 6th August, 2025.

Source: RHP, SSL Research.

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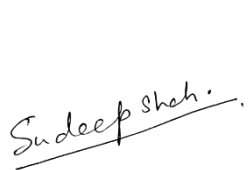
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